

How it works

The cash-flow statement is often more useful for investors assessing a business's health than other key statements, because it shows how the core activities

are performing. The profit-and-loss statement, for example, obscures this by adding in non-cash factors such as depreciation. Similarly, the balance sheet is more concerned with assets than liquidity.

Three types of cash flow

Cash refers to actual money as well as cash equivalents including cash in the bank; bank lines of credit, and short-term, highly liquid investments for which there is little risk of a change in value. Cash does not include interest, depreciation, or bad debts (debts written off).



Cash flow from operating activities

The bulk of cash flow usually comes from operations, and is worked out with a formula. The change in working capital (current assets minus current liabilities) can be a negative figure.

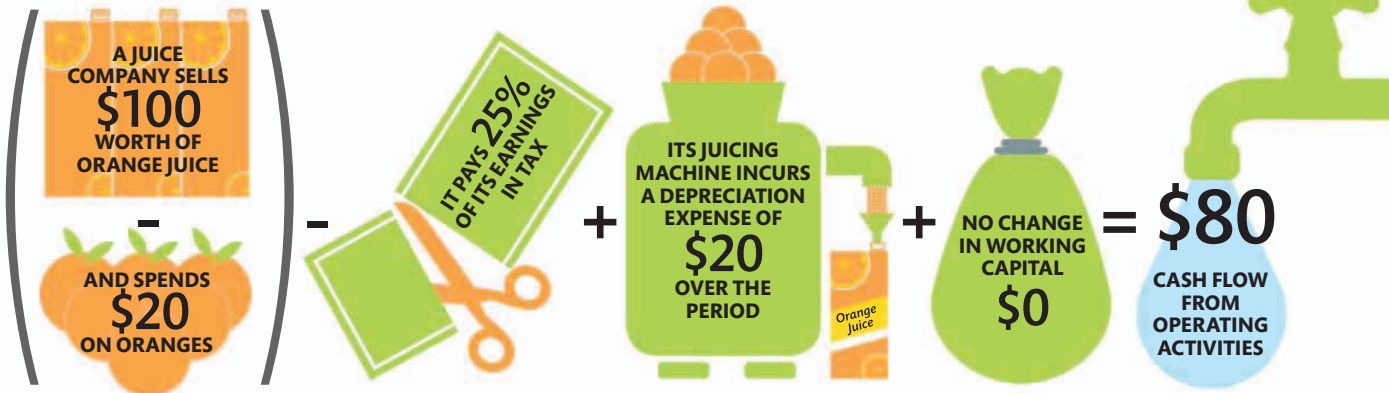


$$\left(\text{REVENUE} - \text{COST OF SALES} \right) - \text{TAXES} + \text{DEPRECIATION} + \text{ANY CHANGE IN WORKING CAPITAL} = \text{CASH FLOW FROM OPERATING ACTIVITIES}$$

Cash flow from operating activities in practice

In this example, a juice company sells \$100 worth of orange juice after spending \$20 on oranges. It pays 25 percent of its \$80 earnings in tax. Its juicing machine incurs a depreciation

expense of \$20 over the period (a positive adjustment on the original outlay for the machine). There is no change in working capital (short-term assets to cover short-term debt).



Cash flow from investing activities

Buying or selling assets or investments is in this category. This figure is usually a cash outflow (negative figure) due to buying more than selling, but can be positive if there are significant sales.



Cash flow from financing activities

This includes buying or selling stock or debt and paying out dividends. Money made from selling something is called cash inflow; money lost through paying out is cash outflow.



Total cash flow

Adding all three cash flows gives the total. Separating out the three types shows decision-makers the health of core activities as opposed to financing and investing, which bear little relation to day-to-day operations.